



Traffic Impact Fee (TIF) Annual Report for FY 2023-2024

Background

AB 1600, the Mitigation Fee Act was enacted by the California Legislature in 1989. These provisions, which are codified in Government Code Section 66000 et seq., allow government agencies to impose development impact fees to fund improvements to mitigate anticipated impacts of new development on public services. In 2019, the City of Monrovia adopted Ordinance No. 2019-05 which authorized a Traffic Impact Fee (TIF) on specified new development south of Huntington Drive. The City ordinance is codified in Chapter 3.22 of the Monrovia Municipal Code (MMC).

AB 1600 requires that capital projects to be financed with TIF funds be identified in the Traffic Capital Improvement Plan (T-CIP). Periodic review and adjustment to the TIF is appropriate and warranted in order to insure that sufficient funds are collected to construct the improvements detailed in the T-CIP.

Government Code Section 66002 requires that an annual report be prepared that reviews the T-CIP and the estimated costs for constructing the identified improvements. The estimated costs for construction these facilities are adjusted each year by the California Cost Construction Index (CCCI). Pursuant to MMC Section 3.22.080, the fees are automatically adjusted pursuant to the requirements of Government Code Section 66018. Within 180 days after the last day of the fiscal year, the City must make the following information available.

Public Review

Pursuant to Government Code Section 66006(b)(2), the Annual Report will be available for public review not less than 15 days before the review by the City Council.

This report was made available on December 16, 2024 at Monrovia City Hall, Office of the City Clerk, 415 South Ivy Avenue, Monrovia, CA and online at www.cityofmonrovia.org.

The City Council will review the Annual Report at their regular meeting scheduled for January 21, 2025.

REPORTING REQUIREMENTS

Fee Description:

The Traffic Impact Fee (TIF) is intended to fund future anticipated traffic related improvements that will be needed to maintain current service levels that otherwise would be impacted by new development in Monrovia, specifically south of Huntington Drive.

The Traffic Capital Improvement Plan (T-CIP) uses the analysis of the existing conditions and the future conditions to identify traffic system improvements that will be required to maintain an acceptable Level of Service (LOS) based on projected growth. The T-CIP describes the recommended improvements, which fall into four categories:

- Signal coordination/synchronization;
- Existing signal equipment upgrades;
- New signal installation;
- Physical right-of-way modifications (e.g. dedicated turn lane).



Amount of Fee:

As adopted in Resolution No. 2024-01, the current TIF is \$2,575 per new PM peak hour trip.

Fund Balance:

The Annual Report must identify the beginning and ending balance of the Fund as well as the amount of the fees collected and the interest earned.

For the Fiscal Year ending June 30, 2024, the Traffic Impact Fee Fund had the following activity:

Beginning Balance July 1, 2023	Fees Collected	Other Revenue (Interest)	Expenditures	Ending Fund Balance June 30, 2024
\$680,512	\$157,169	\$29,917	\$0	\$867,598

Public Improvements Funded using TIF revenues:

The Annual Report must identify each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with TIF revenues.

There were no public improvements funded using TIF revenues.

As outlined in the Nexus Study, the T-CIP is a 20-year plan based on projected development in the Study Area. Since the plan is dependent on development fees, it is difficult to forecast completion dates for the listed projects. However, the City expects to complete all of the projects within the 20-year span of the plan or by 2040.

Inter-fund transfers or loans:

The Annual Report must give a description of each inter-fund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fee will be expended, and in the case of an inter fund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No inter-fund loans were made from or to the Traffic Impact Fee fund during this reporting period.

Refunds and allocations:

The Annual Report must provide the amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocation pursuant to subdivision (f) of Section 66001.

No refunds or allocation have been made from the TIF Fund.